

Westpac Quarterly Business Snapshot Q4 2025

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Shifting to a sustainable recovery path.



- The Westpac Business Cashflow Gauge was flat in the December quarter, after a solid increase in Q3. Overall, the gauge was 1.1% higher than a year earlier, as the recovery in private domestic demand has gained a stronger footing alongside solid external demand.
- The Westpac Business Debt coverage gauge (the ratio of savings to liabilities) was broadly stable in Q4, edging down by 0.1% as deposits growth broadly matched lending. While debt coverage was 5.4% lower than a year earlier, it remained around 20% above pre-pandemic levels at the end of 2025, indicating that business balance sheets remain in solid shape
- Westpac's Industry Cashflow Gauge (including debt servicing costs) improved in 4 of the 13 industries in Q4, down from 9 in Q3. Still, given the broadening recovery over the past year, cash flow conditions were stronger across 11 industries.
- Consumer facing industries saw the largest quarterly gains consistent with firmer household spending and major events such as the Ashes.
- There remain some pockets of weakness including manufacturing which weakened further in Q4 as labour costs picked up.
- The recovery in cash flow conditions also remains uneven across Commercial and SME businesses. Commercial cash flow conditions have recovered more quickly, with 10 industries recording an improvement, including more substantive increases in consumer facing industries. Meanwhile, weakness was concentrated in wholesale trade, where capacity utilisation remains well below average.
- The recovery among SMEs remains subdued, the SME cash flow conditions gauge fell by 0.7% in Q4, after a broadly flat outcome in Q3. Conditions improved in Accommodation & hospitality and across other service industries, while goods related industries and several downstream sectors continued to lag.
- GDP is forecast to grow 2.4%yr by end-2025 and 2.5%yr by end-2026, with the RBA expected to raise rates by 25bp in May, before a prolonged pause.²
- Higher interest rates and inflation are expected to weigh on economic momentum, but wealth effects are expected to support household spending driving investment in consumer facing industries. This will add to solid investment in energy generation & transmission and AI.
- Combined with an expansion in housing, the overall outlook for construction is bright, notwithstanding supply challenges and the risks around costs and delivery, with positive downstream impacts for transportation & logistics, manufacturing and wholesale trade.
- Business cost pressures are expected to moderate. The appreciation of the A\$ over the past year will lower import prices. Previously, the  RBA has estimated that a 10% appreciation in the A\$ lowers import prices by around 8%, with a lagged and smaller pass through to producer costs, and ultimately the CPI.
- Wages growth is also forecast to moderate to around 3% on average by year end. But there are likely to be pockets of above average wage growth, particularly in the construction sector, given skilled labour shortages.

- The risks to the economic outlook are two-sided. Stronger household spending coupled with firm public spending could lead to higher inflation pressures and tighter monetary policy. Meanwhile, hikes could weigh more heavily on consumer spending leading to lower activity and inflation.
- Externally, trade uncertainty has risen following the US Supreme Court ruling that reciprocal tariffs were illegal. President Trump has replaced these with a 10% tariff under Section 122. For Australia, the impact is negligible, as our base tariff is unchanged, with more than 60% of goods exempted.

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